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Trade marks function, don't they? CJEU jurisprudence and unfair competition practices

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[Martin Y Paz Diffusion SA v Depuydt \(C-661/11\) EU:C:2013:577; \[2014\] Bus. L.R. 329; \[2013\] 9 WLUK 450 \(ECJ \(3rd Chamber\)\)](#)

***IIC 434** Abstract Few issues have raised as much controversy in trade mark law and policy as the case law of the Court of Justice of the European Union (CJEU) on trade mark functions. Enthusiastically greeted by some, others consider it disastrous in regard to reasoning and effect. The EU Commission has stepped in, first by filing a brief with the CJEU, then by way of proposed legislation that is supposed to push the genie back into the bottle: protection under the double identity clause shall be available only for use of a sign that affects or is likely to affect the origin function. Unsurprisingly, this proposal met with antagonistic reactions from the opposing camps; and according to the reactions so far available from the legislative bodies, it is most unlikely to succeed. This article tries to add nuance to the discussion by pinpointing the dilemma underlying the CJEU's jurisprudence - the Court is no more to blame than the legislators who failed to articulate more clearly whether and how the protection granted in double identity cases should be limited. Furthermore it is argued that neither accepting the Commission's proposal nor blindly continuing on the current path will yield satisfactory results. More important than arguing about the contents of various trade mark functions and their place in determining the scope of protection is to observe the manner in which trade mark law absorbs ways of reasoning typically found in unfair competition law. While that adds flexibility and may in the longer run lead to more substantive harmonization, the space for independent evaluation of unfair conduct under national law is narrowed accordingly. The effects of this process appear manageable where the scope of rights is concerned; however,

the **IIC 435* results are more hazardous on the level of enforcement, as was highlighted in the recent CJEU decision C-661/11 - *Martin Y Paz*.

Keywords Trade mark functions • European trade mark law reform • Exhaustion • Unfair competition

1.1 Introduction: It Didn't Come Out of the Blue ...

If proponents and opponents of the CJEU's jurisprudence on trade mark functions can agree on anything, this would probably be that the doctrine first articulated in *L'Oréal/Bellure*- that the functions of a mark protected under Art. 5(1)(a) TMD "include not only the essential function of the trade mark, which is to guarantee to consumers the origin of the goods or services, but also its other functions, in particular that of guaranteeing the quality of the goods or services in question and those of communication, investment or advertising"¹ - was an unexpected step which, depending on one's own position, can be qualified as bold and visionary² or as unnecessary and dangerous.³ It is true that the Court's holding in *L'Oréal* came as a surprise, in particular after *Adam Opel/Autec*,⁴ where the same Court had stated that, if the essential function of the "Opel" mark was not affected by the use of the sign on toy models, protection (if at all) could only be sought under the provision granting extended protection for marks having a reputation (Art. 5(2)). However, with hindsight the step can also be interpreted as a legal manoeuvre necessitated by a lack of clarity in the legal provisions.

1.2 Double Identity: Whose Products Must Be Designated by the Mark?

What is it all about? According to the preamble, Art. 5(1)(a) TMD⁵ and Art. 9(1)(a) CTMR⁶ grant *absolute protection* if an identical sign is used in relation to identical goods or services.⁷ Nothing is said about whether this applies only if the **IIC 436* sign is used to identify the goods or services originating from the alleged infringer, or in order to designate goods or services as those of the trade mark proprietor.⁸ None of the alternatives imposes itself as self-evident, in particular because no common position existed on that point before enactment of the Trade Mark Directive (TMD) and the Community Trade Mark Regulation (CTMR). It is true that, in Germany, the matter was clear: trade mark law and practice were firmly anchored in the concept that only use conflicting with a mark's origin function could be considered infringing,⁹ whereas use of marks to indicate provenance from the trade mark proprietor - such as in comparative advertising or other modes of referential use - could only be considered under unfair competition law, if it was found inadmissible at all. However, in other Member States such as France, where the property-like character of trade marks was given more emphasis, trade marks enjoyed a wider scope of protection,¹⁰ with the principle prevailing that unauthorized uses of a mark could be prohibited by the proprietor unless they were justified by specific limitations or by general legal principles.¹¹

In view of the prevailing differences, it would have been the task of the European legislature to clarify the meaning of "absolute protection". However, neither the preamble nor the legal texts contain an unambiguous statement of that kind. Instead, the preamble sets out in a general manner that the goal of the protection granted "is *in particular* to guarantee the trade mark as an indication of origin" (emphasis added).¹² This leaves the door open for the interpretation that other functions may also be considered in the context of the double identity rule.¹³ No additional light is shed on the matter by the few available preparatory documents. This appears to indicate that the issue was overlooked; at least it was not clearly resolved during the legislative process.

The CJEU can therefore hardly be blamed for not realizing at once the true dimensions of the problem when they started to apply the double identity rule. ***IIC 437** Thus, in *Silhouette*, when the CJEU confirmed the principle of regional exhaustion, the Court accepted as given that protection under the double identity rule is "absolute".¹⁴ In *BMW/Deenik*, the CJEU pointed out that using a mark so as to refer to the proprietor's goods (in order to advertise the alleged infringer's own services rendered for those products) serves to distinguish those goods from goods of different origin, thereby falling within the ambit of Art. 5(1)(a).¹⁵ In none of these early cases was it found necessary to request or consider a restriction of the scope of protection granted under the double identity rule to cases of origin confusion.

Restrictions were first discussed in *Holterhoff/Freiesleben*, where the claimant had alleged for some obscure reason that mentioning his trade mark in the course of sales negotiations to describe the cut of a gemstone registered under that mark amounted to infringement. The CJEU remarked quite curtly that the use of the mark in such situations does not affect any of the interests that Art. 5(1) TMD is intended to protect.¹⁶ The rule was articulated more explicitly in *Arsenal*¹⁷ and particularly in *Opel/Autec*:¹⁸ protection under the double identity clause "must be reserved to cases in which a third party's use of the sign affects or is liable to affect the functions of the trade mark, in particular its essential function of guaranteeing to consumers the origin of the goods". The decisions were widely understood as restricting protection within the meaning of Art. 5(1) (a) to the origin function, and thus to cases when the mark was used to indicate the origin of the defendant's products.¹⁹ On the other hand, that understanding clashed with the *Silhouette* and *BMW* decisions, and it was also incompatible with *Gillette/LA Laboratories*,²⁰ where the CJEU found that, although (according to the referring court) consumers were at no risk of misconception regarding commercial origin, the use of the claimant's mark by the defendant in order to indicate compatibility of his own razor blades with the claimant's products was captured by Art. 5(1)(a).

The obvious contradictions were finally straightened out by the CJEU's statement in *L'Oréal*²¹ about the origin function being the most important, but not the sole trade mark function protected in case of double identity. Based on that notion, Art. 5(1)(a) offers a starting point for legal assessment of all kinds of trade mark use in ***IIC 438** relation to goods or services. Whether that be for indicating origin from the alleged infringer or to identify products as those of the trade mark proprietor does not matter, at least it does not foreclose the applicability of trade mark law.

1.3 The Commission Proposals: Back to Basics or Down the Wrong Track?

If *L'Oréal* was meant to be a clarification, it missed its purpose; for most, it seemed to herald a substantial expansion of trade mark protection underpinned by a strongly proprietor-biased view, leading towards completely unpredictable results under case law burdened by convoluted and confusing terminology.²² This negative view is obviously shared by the Commission: after unsuccessfully intervening in *Interflora* with the aim to reverse the functions doctrine,²³ a last-minute amendment²⁴ introduced into the proposals for revision of European trade mark law²⁵ stipulates that protection under the double identity rule should be confined to cases where the allegedly infringing use "affects or is liable to affect the function of the trade mark to guarantee to consumers the origin of the goods and services".²⁶ As a reason, it is pointed out in the preamble as well as in the explanatory memorandum that the provision shall serve "legal certainty and clarity". Some authors, in particular from academia, have commended the proposal for exactly that reason.²⁷ Others have ***IIC 439** sharply criticized the proposal - not only because it seems to diminish the proprietary position allocated to trade mark holders,²⁸ but also because the proposal is inconsistent and, if implemented, would lead to unintended and unwanted consequences, particularly with regard to regional exhaustion.²⁹ Probably due to these arguments, the Commission proposal has been rejected in the (draft) statements by the legislative bodies;³⁰ its prospects for success are therefore rather dim.

Authors supporting the Commission proposal have considered the counterarguments and found them unconvincing. Hans-Georg Koppensteiner, the famed "*eminence gris*" of Austrian trade mark and competition law, points out in a recent article³¹ that maintaining the principle of regional exhaustion does not contradict restricting double identity protection to the mark's origin function, as that function protects consumer expectations not only with regard to commercial origin, but also regarding quality, which includes the way in which the product is presented on the market.³² While that observation is certainly correct, it does not explain why the quality of goods or their presentation on the market are necessarily impaired by the fact that they were manufactured (under the control of the trade mark holder) in a non-EEA country.

More explicit are the arguments set forth by Martin Senftleben.³³ He claims that: (1) the CJEU developed the doctrine of regional exhaustion before the functions theory was enunciated in *L'Oréal*; (2) the CJEU will understand that its case law with regard to exhaustion shall not be questioned; (3) the functions theory also does not explain why the import of products first marketed outside the EEA is infringing; and (4) pursuant to Art. 16(1) TRIPS, EU customs authorities are free to presume that double identity gives rise to confusion.

***IIC 440** The first argument seems to submit that the CJEU, when first deciding on regional exhaustion, had already formed a coherent concept of double identity protection from which they

departed, allegedly without particular reason, in *L'Oréal*. However, as pointed out above, it seems that the CJEU rather simply stumbled into the matter instead of entering the scene with a clear idea of what double identity protection was about. In the early days when *Silhouette* was decided, the Court found it sufficient to state that protection under Art. 5(1)(a) is meant to be "absolute",³⁴ thus invoking a concept which, if applied without restrictions, is even broader than the functions-based analysis developed in subsequent case law.³⁵ If the law, after the proposed amendment, explicitly confines protection under the double identity clause to use affecting the origin function, the basis for that original, broad approach is withdrawn. Nevertheless, Senftleben's second argument is probably right: even if the Commission proposal is accepted, it is most unlikely that the CJEU or the national courts deciding on exhaustion cases under the new provision will revise the principle of regional exhaustion; indeed, they will understand that they are not meant to do so. However, that result comes with a price: courts must either ignore the (new) law compelling them to find for infringement only where the origin function is affected, or they must assume that (and explain why) trade marks used on genuine goods first marketed outside the EEA do not guarantee to consumers that the goods originate from the trade mark holder, or finally, they must - contrary to the finding by the CJEU in *Silhouette*³⁶ - accept that infringement claims are based directly on the limitation provision, thereby sidestepping Art. 10(2)(a) (the provision proposed to replace Art. 5(1)(a) TMD). Whichever of these solutions is adopted - it is certainly not one that serves the aims of clarity and legal certainty, as purported by the Commission proposal. It is true - as pointed out in Senftleben's third argument - that even the additional trade mark functions on which the CJEU has so far expanded cannot properly explain regional exhaustion either. One way to accommodate that concern would be to say that the cautious Court left the door open for introducing further functions, so that the lacuna might be filled with more of that kind. Simpler and probably closer to the heart of the matter is the consideration that the absolute protection basically granted by Art. 5(1)(a) in its current wording only needs to be qualified by the functions theory if the goods in relation to which a mark is used by the alleged infringer are *legitimately commercialized* in the EU.³⁷ Whether or not that basic requirement is **IIC 441* fulfilled remains a matter for trade policy.³⁸ Finally, the relevance of the argument based on Art. 16(1) TRIPS and the presumption it enshrines is unclear. Even if customs can presume that original goods imported from non-EEA countries are counterfeits, it would still have to be established in subsequent proceedings that, and why, they are actually infringing; i.e. the issue remains unchanged in substance.

Apart from exhaustion, the Commission proposal is also criticized for its inconsistency.³⁹ In particular, the relationship between the double identity clause and trade mark infringement in comparative advertising appears twisted. While Art. 10(2)(a) of the proposed TMD - the new double identity clause - restricts protection to use affecting the origin function, Art. 10(3)(f) of the proposed TMD sets out that use of a mark that is contrary to Directive 2006/14/EC can be prohibited "under paragraph 2". What are courts supposed to read into that? Shall use of marks in comparative advertising only result in trade mark infringement if the prerequisites of para. 2 are fulfilled, i.e. if the origin function is affected - with the consequence that Art. 10(3)(f) captures only the exceptional cases when the comparison is likely to cause confusion, whereas comparative advertising in general remains to be treated under other codifications? Or are the courts supposed

to "understand", just as with regional exhaustion, that the case law of the CJEU shall not be questioned with regard to comparative advertising? Or should one rather argue - in order to respect the letter of the law, but still arrive at the same result as before - that using a mark in comparison with another product always creates some remote kind of association between the two and thereby necessarily "affects" the origin function?⁴⁰

Listing these questions already demonstrates that the Commission's contention that clarity and legal certainty will benefit from the proposed changes cannot be seriously sustained. What will ensue is rather an overall fixation of the status quo⁴¹ on shaky grounds, providing a new playground for professors and ambitious courts to develop diverse theories about what the origin function is and what it is not, in order to bridge the inherent inconsistencies in the legal text.

***IIC 442** 1.4 The Functions Theory Put in Context

With the Commission proposal not being likely to succeed - and also in view of serious doubts concerning its merits - it makes sense to revisit the current situation, as shaped by CJEU jurisprudence. Importantly, case law did not stop with *L'Oréal*; to perceive the full picture, the rulings in *Google/Vuitton*⁴² and *Interflora*⁴³ must likewise be included. These cases have demonstrated that, contrary to what may first have been feared (or hoped), including other functions in the assessment of double identity cases does not automatically lead to enhanced protection. Such protection will only result if, in exceptional cases, the interests of the trade mark holder are seriously jeopardized by conduct that is incompatible with *fair and sound competition*.

⁴⁴ Whether that is the case or not in a particular conflict is regularly left to the national courts to decide. Seen from that angle, a different narrative is suggested here from the usual harsh

criticism of the allegedly wayward Court. *First*, the CJEU was right in positing that double identity protection is, in principle, absolute.⁴⁵ If one thing emerges clearly from the preamble, it is exactly that precept. The - in principle - absolute character of protection under the double identity rule is further confirmed by the fact that only such absolute protection provides a solid basis for stipulating that exhaustion of marks is confined to the first marketing in the EEA. Also, the limitation enshrined in Art. 6(1)(c) makes more sense if the use of marks in order to indicate purpose, typically without creating misunderstandings about commercial origin, falls under Art. 5(1)(a) and thereby within the ambit of trade mark law. *Second*, it is obvious that absolute protection regularly goes beyond what is necessary to safeguard the legitimate interests of trade mark proprietors where it extends to using another person's mark to identify goods or services as originating from that person. The negative impact of such excess protection can be neutralized only if the admissibility of the pertinent conduct is ensured by sufficiently broad and robust limitations and exceptions. *Third*, European trade mark law suffers, at present, from a deficiency in that regard, because the current catalogue of limitations and exceptions is too narrow and, due to its finite character, does not allow for an extension.⁴⁶ This makes it necessary to employ additional means to contain the

***IIC 443** breadth of protection conferred by the double identity clause. Trade mark functions, in the jurisprudence of the CJEU, serve exactly that purpose: it is true that, on the one hand, their

protection underpins the absolute character of the double identity clause, thereby allowing the assessment of cases under trade mark law that do not bear the stamp of origin confusion. On the other hand, however, they form the basis for limiting the exercise of the right to cases in which the use manifestly inhibits fair and reasonable competition.⁴⁷ Rather than the expansion of trade mark law - which is not an invention of the CJEU but follows from the legal text as it currently stands - it is the latter part of the CJEU's jurisprudence that is interesting and relevant; it forms an overarching, umbrella type of limitation complementing the meagre, case-specific enumeration in Art. 6 TMD.

Unfortunately, courts and scholarly critics have been so focused on what appeared to be an arbitrary, erratic kind of jurisprudence that its positive aspects have seldom been analyzed.⁴⁸ With the prospects for success of the Commission proposal being minimal and the functions doctrine most likely to persist, it is now high time to leave the trenches and start exploring the potential for development in the Court's jurisprudence, with an effort to control rather than (over-) emphasize its downside.

Among the most annoying aspects of the functions discussion is the fact that the terminology employed by the Court with its exegesis of the different trade mark functions forces national courts into a scheme of semantics-based reasoning ("*Begriffsjurisprudenz*") that obscures rather than illuminates the actual considerations on which the assessment relies. The uncertainties resulting from this kind of decision-making are exacerbated by the fact that the CJEU has until now only dealt with two of the additional trade mark functions - the advertising and investment functions - whereas another two functions were mentioned in *L'Oréal*⁴⁹ without being defined so far; as the enumeration was not exhaustive, even more functions may emerge. The irritation this has created is understandable. However, matters only get worse if legal writings and critical comments remain focused on the surface covered by awkward terminology instead of addressing and revealing the core of the matter lying beneath those words.⁵⁰ Inspiration in this regard can be drawn from Advocate General Kokott's opinion in *Viking Gas*, where she basically reasoned that the essence of the functions discussions lies in a **IIC 444* thorough assessment of the parties' interests under the *leitmotiv* of undistorted competition, by whatever names the functions are called.⁵¹ If that precept were commonly understood and accepted as the ultimate fundament for legal action, void and fruitless discussions about definitions and terminology would hopefully come to an end.

It would be naive, however, to assume that the suggestion to replace the current terminology-oriented discourse by an open, interest-based assessment of conduct in the light of undistorted competition would easily relax the misgivings against the impact of CJEU jurisprudence.⁵² It is obvious - and only fair to state - that the suggestion infuses European trade mark law with a heavy portion of continental "unfair competition" type of thinking.⁵³ That is no surprise either: Member States employing that concept are used to taking a broad approach in unfair competition law to modes of trade mark use, including uses not causing origin confusion; it is therefore quite logical under those systems that principles informing unfair competition analyses are "imported" into trade mark law if the ambit of the latter expands to cover essentially the same area.

To common law systems, on the other hand, the matter must appear highly suspicious, particularly in view of the notorious lack of legal certainty invoked by the very notion of an "unfair competition law". Replacing the functions theory by such a fuzzy concept will hardly be credited for improving the current situation; the basic problem would remain that, as expressed by Ansgar Ohly, trade mark functions are a sort of "black box" out of which any desired result can be drawn.⁵⁴ Admittedly, the concerns are not easily soothed. However, things would hardly be easier under the Commission proposal: as shown above, the obvious inconsistencies in the legal text would impose a strongly malleable concept of the origin function, so that knowing whether certain conduct does or does not have a negative effect on that function might likewise resemble a lottery - quite apart from the fact that the case would be left with "loose ends" to be eventually considered under unfair competition law or similar codifications in the different Member States. Furthermore, the "black box" effect mentioned by Ohly is at least to some extent due to unclear reasoning under the camouflage of functions argot. Taking the approach suggested here, transparency is added by focusing and elaborating more **IIC 445* explicitly on the interests of the parties and the fairness- and competition-related arguments weighing in one favour or the other.

Nevertheless it remains true that in the relevant cases - which are typically outliers in comparison to established categories of trade mark infringement - a certain degree of uncertainty will inevitably persist. However, legal evaluation in such cases is not completely without guidelines. In particular, the analysis is informed by the limitations and exceptions which, although not sufficiently comprehensive to capture every possible kind of admissible conduct, pinpoint specific modes of use that cannot be prohibited, thereby providing a general orientation framework. Furthermore, the fact that, in case of marks having a reputation, advantage taken or damage inflicted must be tolerated if "due cause" is established is at least indirectly relevant here. If it applies to extended protection within the meaning of Art. 5(2) TMD, there is even more reason to take full account of "due causes" under the double identity clause, when its inherent limitations are explored.⁵⁵

Certainly, all this does not provide much detail or an established list of factors to guide the considerations. The relevant arguments usually fall into the three categories that also govern the general structure of trade mark law: the most important one concerning the risk that consumer decisions are unduly influenced by suggesting the existence of commercial links, if only vaguely; the second one concerning the "unfairness" of someone else taking a free ride,⁵⁶ and finally, the risk may be invoked that the inherent value of the mark is **IIC 446* impaired.⁵⁷ While the last argument is relatively easily established if false and disparaging statements are made about a mark, the appraisal becomes more complex when the first two arguments - suggestion of a commercial link and free-riding - are raised, in particular because they tend to be closely intertwined and are often hard to separate conceptually. The crucial task is then to evaluate the *substantiality* of those risks as concretely as possible and appraise them in relation to the eventual contribution made by the impugned conduct to free and efficient competition, or in the light of other potential countervailing values such as free speech, etc. While more comprehensive guidelines may emerge through case law, the actual results in each case are inevitably based on a case-by-case analysis.

In the end, it is always possible - and likely - that the answer to the claim for protection is "no", but it should be an informed "no", and not a categorical one.

It is of crucial importance in this context that the CJEU regularly leaves the ultimate decision on infringement to the national courts.⁵⁸ No judge is compelled by the functions doctrine to grant overly broad protection. This applies even to *L'Oréal*: although the CJEU was rightfully criticized by the national judge (Jacob LJ) for turning a blind eye to the competition interests involved,⁵⁹ in the end the dubious outcome was not imposed by the functions theory. While the CJEU did declare that the use made of the protected marks in the comparative chart juxtaposing precious perfume brands and cheap smell-alikes was not "purely descriptive" and was therefore captured by trade mark law,⁶⁰ this only meant that the advertisement lay within the ambit of Art. 5(1)(a) TMD and could thus not be discarded as per se irrelevant. The decisive question of whether the advertisement had a negative effect on the advertising function was left to the national court to decide,⁶¹ and - particularly after **IIC 447 Google/Vuitton*,⁶² which was published two months before the UK decision in *L'Oréal* was rendered - it could validly have been denied.⁶³

Saying this also means that the harmonizing effect of extending trade mark protection to non-origin-confusing uses of identical marks will in all likelihood be modest. If and to the extent that the national courts grasp the freedom left to them under the functions theory to arrive at their own conclusions, national approaches and attitudes are going to prevail. Nevertheless, even without the substantive results being synchronized, sizeable effects do ensue with regard to sanctions: as potential trade mark infringement, non-confusing use of marks (such as in comparative advertising) falls into the ambit of the Enforcement Directive (48/2004/EC), whereas the Directive does not apply if conduct is merely treated under unfair competition rules.⁶⁴ Also, by virtue of CJEU jurisprudence, owners of Community trade marks can rely on the CTMR and thus on a single body of unified rules instead of having to apply a mosaic approach of different national codifications implementing the Comparative Advertising Directive or regulating unfair competition in general. More than that cannot readily be expected; especially in cases of newly emergent phenomena, such as keyword advertising, consolidation of jurisprudence takes time, and even more so in a commonwealth of 28 countries. On the other hand, the example also shows that even the rudimentary kind of harmonization resulting from the Court's jurisprudence can have substantial effects on practice: with its ruling in *Google/Vuitton* the CJEU has terminated any speculation about keyword advertising being inadmissible per se.

2.1 Preemption or Parallel Application in Case of Overlap?

If the premise suggested above is accepted that the CJEU's jurisprudence essentially provides the basis for an evaluation of trade-mark-related business practices under the umbrella of common principles of fairness in trade and efficient competition, it **IIC 448* leads to a fairly complete overlap⁶⁵ between trade mark law and unfair competition or other general rules and principles applying in this area. This raises the issue of pre-emption: to what extent will national rules retain their independent validity?

The issue was discussed in Germany with a view to the relationship between unfair competition law (as regulated in the "*Gesetz gegen Unlauteren Wettbewerb*", UWG, of 2008) and extended protection for marks having a reputation. The Federal Supreme Court (*Bundesgerichtshof*, BGH) declared that, after extended protection in accordance with Art. 5(2) TMD had been implemented in trade mark law, the corresponding principles heretofore applying under unfair competition law could no longer be employed.⁶⁶ This so-called prevalence theory ("*Vorrangtheorie*") was heavily criticized in the literature.⁶⁷ In a more recent decision, the German Supreme Court finally sided with the critics and declared that trade mark law and unfair competition law apply independently of each other in infringement cases, without one legal act taking precedence over the other.⁶⁸

It remains to be examined whether the result must be modified in the light of European harmonization. Indications in that direction might be gathered from the CJEU's decision in *Martin Y Paz/Gauquie*.⁶⁹ The conflict in that case arose from a complex background. Two firms, Martin Y Paz and Gauquie, had acquired, **IIC 449* independently and at different times, rights in the trade mark "Nathan" originally owned by a single proprietor. Martin Y Paz acquired only the "part" of the right relating to small leather goods. Gauquie later acquired the previous owner's business and thereby the right that the owner, in the contract with Martin Y Paz, had reserved to himself, namely to use the mark for handbags and shoes. Subsequently - with the details being unclear⁷⁰ - both Martin Y Paz and Gauquie ceased using the mark "Nathan" and instead used a picture mark consisting of an elongated "N" as well as the word mark "Nathan Baume", each for their respective products. In 1998 and 2002, Martin Y Paz - allegedly without informing Gauquie - registered both the picture mark and the word mark for himself. In 2007, Gauquie filed for cancellation based on bad faith insofar as the registration covered shoes and handbags; however, the claim was dismissed as time-barred. Allegedly motivated by revenge, Martin Y Paz filed a claim for a permanent injunction against Gauquie, whereupon Gauquie counterclaimed, asking to prohibit any use by Martin Y Paz of the registered marks except for the small leather goods for which the marks had originally been used. The appeal court granted Martin Y Paz's injunction except for shoes and handbags, holding that with regard to those products the claim constituted an abuse of rights. Gauquie's counterclaim was granted, with the court holding that use of the marks for shoes and handbags by Martin Y Paz would amount to unfair competition, as it served the aim of benefiting from the goodwill that Gauquie's investments had gained for those products. Upon further appeal against the decision, the Belgian Supreme Court referred the case to the CJEU, basically asking whether the reliance of the appeal court on national unfair competition law is compatible with the provisions of the TMD.

The CJEU denied the question. Whether or not a trade mark can be enforced against third parties and whether the use of a mark can be prohibited can only be decided, according to the CJEU, on the basis of trade mark law. More specifically,

If ... Gauquie is to be regarded ... as using signs which are identical to Martin Y Paz's trade marks without its consent, it is a matter for [the national court] ... to assess whether, in the circumstances

of the present case, that use adversely affects or is liable adversely to affect one of the functions of those marks. If it were established that such a detriment or risk of detriment exists, it would have to be held that depriving Martin Y Paz of the possibility of exercising its exclusive right against that use by Gauquie exceeds the limitations arising from Articles 5 to 7 of [the TMD].⁷¹

Regarding the allegedly unfair conduct by Martin Y Paz, the CJEU declared that all the national court may do is to impose a penalty on the proprietor of a trade mark or order it to pay compensation for the damage suffered if the proprietor has unlawfully withdrawn his previous consent to concurrent use.⁷²

***IIC 450** 2.2 Evaluation

The result found in *Martin Y Paz* appears unsatisfactory. Quite obviously there had been massive indications of disloyal conduct by the claimant. From the beginning, the parties had conducted their business on the basis that both were entitled to use the same mark, but only for different products. If the claimant in such a situation proceeds to acquire the trade mark rights in their entirety so as to be in a position to oust the defendant, this appears, subject to further background information, to be a typical case of application in bad faith.⁷³ It is astonishing against this background that the cancellation request filed by the defendant was considered to be time-barred. Time limits of this kind usually serve to protect the bona fide interests of the party whose position is challenged; however, in a case like this where the challenged party allegedly acted in bad faith, no such protection is called for. Also, regarding the claimant's claim for injunction one might have expected some observations on acquiescence; however, neither national law seems to have provided a basis for that, nor could the argument be considered by the CJEU. The relevant provision, Art. 9 TMD, only addresses acquiescence vis-à-vis use of a *registered* mark, and that was exactly what the defendant lacked. Apart from that, acquiescence only grants a defence; it cannot be employed as a basis for *prohibiting* the claimant's use of the mark for shoes and handbags. Thus, acquiescence could not anyhow have achieved the result which - pursuant to the evaluation by the Belgian appeal court - was the most appropriate. The only route available to arrive at a solution that according to the appeal court was fair and balanced led through unfair competition law.

However, the CJEU did not see a reason (or a possibility) for granting to the national court the space needed for such manoeuvres. Instead the court was prompted to find the solution primarily in a consideration of the trade mark functions (or in other sanctions; see below). The extent of the court's freedom in that evaluation remains somewhat unclear. Is the court free to find in a constellation such as the one at stake that the origin function will not be negatively affected if the defendant continues to use the mark for shoes and handbags, considering the public is anyhow used to the defendant's products being offered under the mark? That such a result is not excluded even when identical marks are used to designate identical products was confirmed by the CJEU in *Budweiser*.⁷⁴ However, that decision concerned an exceptional case, as the interested circles were fully aware that the two companies using the "Budweiser" mark for beer are very different in many respects, and (at least at present) are not related to each other in any manner, so that misconceptions

about commercial origin are most unlikely to occur. Furthermore, although both companies use an identical word mark ("Budweiser"), the way in **IIC 451* which the trade mark appears in practice on and in relation to the respective products is distinctly different in regard to font, colours, get-up and marketing, thus providing sufficient safeguards against consumer confusion. In the present case, however, nothing in the trade marks and their presentation on the market alerted consumers to the different commercial origin. This is not unproblematic even in the situation where both companies continue to use the marks only for their specific area of goods (small leather goods/handbags and shoes); if the claimant extends his activities to shoes and handbags while the defendant stays in the same area, the risk for origin confusion will rise even further. According to Advocate General Cruz Villalón's opinion, the theoretical option of denying an encroachment of the origin function is therefore excluded.⁷⁵ The CJEU does not refer to that part of the opinion in its decision; this seems to indicate that no consensus was formed on this point. Nevertheless, the Advocate General's opinion appears correct. To assume that the origin function is not negatively affected by use of an identical, non-distinguishable sign on identical products by a firm that is not related to the trade mark proprietor would overtly clash with the essential objective of a trade mark to clearly designate the product as originating from a specific commercial source.

The CJEU further explicitly refers to its jurisprudence regarding the other trade mark functions, advising the national court also to look into these.⁷⁶ The meaning of that hint remains unclear: Does the Court simply take the opportunity to publicly state that they are not going to abandon their previous case law in view of the Commission proposal? Or does it want to suggest that the additional trade mark functions might be of relevance in this case? But how could they possibly be decisive? If the origin function is jeopardized, any discussion about the other trade mark functions becomes obsolete. However, in the unlikely case that the national court finds no negative effects on the origin function, detriment of the advertising and investment functions must certainly likewise be excluded: after all, if the defendant profits from the reputation of the mark, this is because of the goodwill he has created by his own investments in the market sector concerned.

If the theoretical but highly questionable option of denying a negative effect on the origin function is discarded, this means that further use of the mark by the defendant will be prohibited. While the national court remains free to impose sanctions on the claimant's allegedly unfair conduct thus impairing the defendant's position, it may not be prohibited by such measures that the claimant uses the marks for the entire range of goods to which the registration pertains. Whether a temporary injunction may be imposed remains unclear. While temporary measures are mentioned as a possible remedy by the Advocate General,⁷⁷ the CJEU formulates rather vaguely that the national court may "impose a penalty on the proprietor of a trade mark or order it to pay compensation for the damage suffered if it finds that that proprietor has unlawfully withdrawn the consent by which it allowed a third party to use signs which are identical to its marks".⁷⁸ This seems to say that the **IIC 452* remedies can only target the conditions under which the cooperation was terminated, while the more fundamental question is implicitly discarded, namely whether the claimant's allegedly unauthorized "seizure" of the marks amounts to unlawful conduct that shall not bear fruit.

3 Conclusions

At least in part, the unfortunate result in *Martin Y Paz* is due to specific elements of national law. This applies to the prescription with regard to the cancellation request, and also to the fact that under Benelux law protection for unregistered marks based on goodwill or passing off is not available; otherwise, the defendant might have been able to claim rights at least in one or possibly both marks used by him.⁷⁹ Nevertheless, the core of the judgment - that national unfair competition law may not be employed to counteract a solution found on the basis of harmonized trade mark law - also remains valid for other jurisdictions.⁸⁰ It is true that the prevalence thus postulated for European law does not fully pre-empt the application of domestic rules; however, if under trade mark law a permanent injunction cannot be issued for lack of a negative effect on the trade mark functions, the same conduct can also not be prohibited in permanence under unfair competition law or similar principles. As the CJEU is competent for the interpretation of trade mark law, it follows that in case of overlap national unfair competition law - though not formally harmonized - is bound by the CJEU's legal assessment, at least insofar as permanent injunctions are concerned.

As pointed out above, overlaps between unfair competition and trade mark law are particularly pertinent in regard to alleged infringements beyond origin confusion, i.e. when in the CJEU's parlance the advertising or investment functions are negatively affected. If prevalence needs to be given to EU law in that area, this means that it is ultimately the CJEU that sets the course for assessing what is meant by "sound and fair competition"; national law must follow. On the other hand - as pointed out above - the CJEU usually leaves the task of concrete evaluation to the national courts. It is therefore up to those courts to imbue the application of trade mark law with thoughts and values that are informed by unfair competition principles - or, respectively, by doctrines of fairness and equity - so as to ensure a smooth convergence of both fields.

In cases like *Martin Y Paz*, however, there is hardly any room for a meaningful utilization of the space for considerations of fairness that the functions theory may otherwise provide. As the case shows, the prevalence postulated by the CJEU for European law is less hazardous with regard to defining the general scope of protection than on the level of enforcement, if the enforcement appears abusive due **IIC 453* to the individual circumstances of the case, and in particular if, for exceptional reasons, the use of a registered mark shall be enjoined.⁸¹

The CJEU fails to recognize that the key to these issues, where they become problematic, does not necessarily reside in the field of trade mark functions. Due to its genesis as a tool to sustain and limit the scope of trade mark protection in case of infringement, the functions discussion neither encompasses the way in which the trade mark was acquired, nor does it yield a basis for evaluating and actively preventing abusive behaviour by the trade mark proprietor. Cases like *Martin Y Paz* therefore need a more comprehensive evaluation scheme which is equally based on overarching principles such as equity and fairness, but without being limited to the aspects on which the functions discussion is mainly focused. General principles informing such an evaluation

(like "unclean hands"; or "*Treu und Glauben*") are found in practically every organically grown legal system. In contrast, European law, at least for now, does not represent a comprehensive, fully developed legal system providing for an overarching corpus of fundamental fairness principles. That lacuna shows when non-harmonized national law impacts a harmonized area like trade mark law in a manner which - such as time-barring the cancellation claim in *Martin Y Paz*- produces skewed results. To posit that the solution in such cases must solely be found in trade mark law appears unfounded; after all, the problem itself results at least in a substantial part from the impact of non-harmonized law. This particular situation calls for a cautious approach; it would be wise not to interfere more than absolutely necessary with national correction mechanisms. Unfortunately, the CJEU does not always muster the kind of self-restraint one might wish for in such situations.

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Footnotes

- 1 CJEU Case C-487/07, [2009] ECR I-05185 - *L'Oréal/Bellure*, para. 58.
- 2 A particularly positive reaction in Germany was that of K.-H. Fezer who considered *L'Oréal* to be a "magic moment" of the functions theory (Fezer Fezer 2010).
- 3 See e.g. Senftleben (2014).
- 4 CJEU Case C-48/05, [2007] ECR I-01017 - *Opel/Autec*.
- 5 Directive 2008/95/EC of the European Parliament and of the Council of 22 October 2008 to approximate the laws of the Member States relating to trade marks (codified version), OJ L 299, pp. 25-33 (8 November 2008).
- 6 Council Regulation (EC) No. 207/2009 of 26 February 2009 on the Community trade mark (codified version), OJ L 78, pp. 1-42 (24 March 2009).
- 7 TMD, recital 11: "The protection afforded by the registered trade mark, the function of which is in particular to guarantee the trade mark as an indication of origin, should be absolute in the case of identity between the mark and the sign and the goods or services". Likewise: CTMR, recital 8.
- 8 The issue is also not solved by Art. 5(5) TMD which stipulates that Art. 5(1)-(4) "shall not affect provisions in any Member State relating to the protection against the use of a sign other than for the purposes of distinguishing goods or services". This phrase can be interpreted in different ways: it may indicate that Art. 5(1)(a) applies only where the mark distinguishes goods and services as originating from the alleged infringer, or also when goods or services stemming from the proprietor shall be distinguished as to their source.

- 9 The doctrine had been elaborated primarily in the context of trade mark exhaustion: because products released in the market under their mark with the trade mark holders' consent were "genuine goods" irrespective of where they were first marketed, their importation and sale were considered legitimate. The foundations of the doctrine - which applied in Germany until the CJEU's ruling in *Silhouette/Hartlauer*, Case C-355/96, [1998] ECR I-04799 - were primarily developed, for example, by Beier (1970, 61 *et seq*).
- 10 That was even true in the UK, where comparative advertising always figured as a potential infringement of trade marks due to a statutory provision on "importing a reference" to cover comparative advertising.
- 11 As far as can be seen, the issue of limiting trade mark protection to a particular function was never even discussed in France and the doctrine of international exhaustion has never been accepted.
- 12 *Supra* note 7.
- 13 This is pointed out by the CJEU in Case C-323/09, [2011] ECR I-08625 - *Interflora/Marks & Spencer*, para. 39. Of course, that understanding is not compelling; it might as well be said that the openness for protection of other functions of trade mark protection is only relevant for Art. 5(2). But that is exactly the point here: both interpretations are possible; none is given.
- 14 CJEU Case C-355/96, [1998] ECR I-04799 - *Silhouette/Hartlauer*, para. 17. The core of the issue treated in *Silhouette* was of course found in Art. 7 TMD; but, as the Court also stated in response to a question posed by the Austrian Supreme Court, Art. 7 as such does not provide a basis for an infringement claim, which must first be established under Art. 5(1)(a); *see infra* note 36.
- 15 CJEU Case C-63/97, [1999] ECR I-00905 - *BMW/Deenik*, para. 39.
- 16 CJEU Case C-2/00, [1999] ECR I-00905 - *Holterhoff/Freiesleben*, para. 16.
- 17 CJEU Case C-206/01, [2002] ECR I-10273 - *Arsenal/Reed*, para. 47 *et seq*. Although the Court based its judgment on the origin function, it already became obvious in this case that it was ready in principle to depart from a strict understanding of that function in the sense that the origin function is only negatively affected if actual confusion as to origin is likely to arise.
- 18 CJEU Case C-48/05, [2007] ECR I-01017 - *Opel/Autec*, para. 21 *et seq*.
- 19 Although that understanding did not entirely match the broad understanding of potential negative effects on the origin function demonstrated in *Arsenal*, *supra* note 17.
- 20 CJEU Case C-228/03, [2005] ECR I-02337 - *Gillette/LA Laboratories*.
- 21 *Supra* note 1.
- 22 *See* Jacob LJ in *L'Oréal v. Bellure*, [2010] EWCA Civ 535, para. 30, stating that there is nothing in the legislation about functions, that they are conceptually vague and ill-defined, and would lead to overbroad protection. In the same vein, in particular an editorial by Senftleben (2011, 2013). A critical approach is also taken by Koppensteiner (2012, 52 *et seq*), Hacker (2009), Ohly (2011).

- 23 CJEU Case C-323/09 - *Interflora/Marks & Spencer*, para. 35. The CJEU replied to that *demarche* that: "Admittedly, a trade mark is always supposed to fulfil its function of indicating origin, whereas it performs its other functions only in so far as its proprietor uses it to that end, in particular for the purposes of advertising or investment. However, that difference between the essential function of the trade mark and its other functions can in no way justify - when a trade mark fulfils one or more of those other functions - excluding from the scope of Article 5(1)(a) ... acts adversely affecting those functions." This seems to mean that the additional functions must already be protected because (and if) the mark "has" those functions. However, the fact that the additional functions exist is not per se also a sufficient reason to protect them legally. *See* critical remarks by A. Ohly, *supra* note 22.
- 24 About two months before the Commission proposals (*infra* note 25) were officially published, an unofficial version of the draft TMD recast and the CTMR were circulated in interested circles. That version did not restrict the double identity rule to negative effects on the origin function. Instead, it stipulated in recital 19 of the preamble that: "In case of a mark being used to designate the goods or services of the proprietor as an indication of commercial origin in commercial communication referring to those goods or services or in the context of commercialising such goods or services, protection should be granted where the use does not comply with honest commercial practices, as specified in the limitations of the effects of a trade mark, or where it relates to goods or services that are not legitimately commercialised on the market in the Union." The wording of this recital may have been inspired by the "Study on the Overall Functioning of the European Trade Mark System" carried out by the Max Planck Institute (MPI Study, available at: http://www.ip.mpg.de/en/pub/news/trade_mark_study/synopses_tms.cfm#i51976), where a closely similar concept is expressed in Part III, marginal note 2.225.
- 25 Commission proposals published on 27 March 2013, COM(2013) 162 final (amendments to the CTMR) and COM(2013) 161 final (recast of the TMD).
- 26 Article 10(2)(a) of the proposed TMD recast (*supra* note 25); likewise: Art. 9(2)(a) proposed (amended) CTMR.
- 27 In particular Senfleben (2014); basically positive (with a critical assessment of the proposed inclusion of comparative advertising in the TMD), Koppensteiner (2014).
- 28 That point is, of course, of foremost interest to associations of trade mark proprietors; *see* INTA, "Comments on the Proposed Revisions to the EU Community Trade Mark Regulation and Trade Marks Directive", available at: <http://www.inta.org/Advocacy/Documents/June2013INTACommentsEUTMSSystemsReview.pdf>, pp. 15-16; ECTA, "Comments on the Proposed Revisions to the EU Community Trade Mark Regulation and Trade Marks Directive", 24 June 2013, available at: <http://www.ecta.org/position-papers/2013>, p. 8. A positive position towards the proposal is taken by MARQUES, "Comments on EU Commission Proposals for Amendments to the EU Trade Mark System" (19 April 2013), available at: <http://www.marques.org/PositionPapers/default.asp>, pp. 7-26.

- 29 That aspect is emphasized in particular by Sack (2013); Fezer (2013); *see also* GRUR (German Association for Intellectual Property), "Opinion Regarding the Commission Proposal for a Recast of the Trade Mark Directive", available at: http://www.grur.org/uploads/tx_gstatement/2013-07-01_GRUR_Opinion_Recast_TM_Directive-full_01.pdf, pp. 10-11; *see also* further references by Senftleben (2014), in footnote 32.
- 30 Draft Report on the proposal for a directive of the European Parliament and of the Council to approximate the laws of the Member States relating to trade marks (recast), 31 July 2013 (C. Wikström) (*see also* unofficial summary of the text adopted by the legal affairs committee (JURI) of the European Parliament from 17 December 2013); European Council, compromise proposal on the proposed Directive, drawn up by the Lithuanian presidency, 15 November 2013, 8066/13PI52 CODEC 711. After finalisation of this manuscript, the European Parliament in its first reading on 27 February 2014 rejected the Commission proposals on this point.
- 31 *Supra* note 27.
- 32 H.-G. Koppensteiner, *ibid.*, III 2.
- 33 Senftleben (2014).
- 34 *Supra* note 14.
- 35 On the meaning of "absolute" as employed here, *see infra* note 45.
- 36 Case C-355/96, *supra* note 14. The CJEU responded to the question posed by the Austrian Supreme Court whether claims for infringement in case of importation of genuine goods from a non-EU country could be based on the national provision implementing Art. 7 TMD: "7(1) of Directive 89/104 cannot be interpreted as meaning that the proprietor of a trade mark is entitled, *on the basis of that provision alone*, to obtain an order restraining a third party from using his trade mark for products which have been put on the market outside the European Economic Area under that mark by the proprietor or with his consent" (emphasis added).
- 37 This principle is set out in recital 19 of the "leaked" draft texts of the proposals for trade mark revision (*supra* note 25); for the same concept, *see* MPI Study, *supra* note 24, Part III, 2.225.
- 38 That trade policy is the only ground on which regional exhaustion can be based is also pointed out by Koppensteiner (2014), III. 2.
- 39 In particular the opinion by the German Intellectual Property Association (GRUR), *supra* note 29; the proposal's inconsistency with regard to comparative advertising is also criticized by Koppensteiner (2014), III. 1.
- 40 If this kind of argumentation were embraced by the courts, it would create a sort of "super-origin-function" de facto embodying the other trade mark functions as well, so that the restriction in Art. 10(2)(a) would become meaningless.
- 41 This expectation is motivated by the fact that basically all practically relevant cases - comparative advertising, regional exhaustion, and referential use, *i.e.* use of a mark "for the purpose of identifying goods or services as those of the proprietor of the trade mark" remain within the text of the TMD, if only in the form of limitations and exceptions. It is therefore most likely that - in spite of the systemic inconsistencies

pointed out in the text above - it will be taken for granted that they are captured by the double identity clause, whatever its wording may be. Regarding keyword advertising, the status quo would likewise remain unchanged, because now the only practically relevant issue is whether the origin function is affected by lack of clarity in the advertisements displayed on the screen.

42 CJEU Joined Cases C-236/08-C-238/08, [2010] ECR I-02417 - *Google/Vuitton*.

43 CJEU Case C-323/09, [2011] ECR I-08625 - *Interflora/Marks & Spencer*.

44 CJEU Case C-323/09, [2011] ECR I-08625 - *Interflora/Marks & Spencer*, para. 91. This was said with regard to Art. 5(2) TMD, but the same concept can be applied to protection under the double identity clause.

45 "Absolute" in this sense only means that no origin confusion or other negative effects on the origin function need to be shown. But as a prerequisite for protection under the double identity rule, it must still be established that the mark is used "in relation to goods and services", and for the purpose of distinguishing those goods and services from those of different commercial origin.

46 By extending the limitation currently enshrined in Art. 6(1)(c) to all kinds of referential use and by including non-distinctive marks into the current Art. 6(1)(b), the situation will improve, though it is still far from optimal. For a critical assessment of the Commission proposal with regard to the limitations, see Koppensteiner (2014), III. 3, arguing that the proposed Art. 14(2)(b) - defining use which is not in accordance with honest business practices - will be interpreted as providing a basis to claim protection for "ordinary" marks against unfair advantage being taken or detriment being done to their reputation or distinctive character.

47 The concept seems to resound in CJEU Case C-323/09, [2011] ECR I-08625 - *Interflora/Marks & Spencer*, para. 37 (repeated in Case C-65/12 - *Leidseplein/Red Bull*, para. 32) though the Court - regrettably - did not expand on this any further than by referring again to protection of the trade mark functions.

48 Although they are not ignored either; see in particular Senftleben (2014), pointing out that the functions doctrine might establish a sort of *de minimis* threshold for trade mark infringement *praeter legem*.

49 CJEU Case C-487/07, [2009] ECR I-05185 - *L'Oréal/Bellure*, para. 58: in addition to the advertising and investment functions, the CJEU also mentioned the communication function and the function "of guaranteeing the quality of the goods or services in question".

50 To do so is probably least easy for those used to the explicit and thoroughly reasoned decisions of common law courts. However, it is trite to state that the CJEU is, and must be, different. For a number of reasons, CJEU judgments are notoriously formulaic and tight-lipped, with information on the core considerations being dispensed in minimal dosage.

51 AG Kokott's opinion in CJEU Case C-46/10 - *Viking Gas/Kosan*, paras. 45 *et seq.*, 55 *et seq.*; citing AG Poiares Maduro in Joined Cases C-236/08-238/08 - *Google/Vuitton*, para. 102.

- 52 For instance, Senftleben (2014), regards AG Kokott's opinion in Case C-46/10 - *Viking Gas/Kosan* as confirming that "function theory is a source of legal uncertainty for trade mark users because the scope of protected functions is unforeseeable".
- 53 For a particularly insightful analysis of unfair competition as the fundament and inspiration of the EU-type of dilution enshrined in European trade mark law (with a comparison to the U.S.) see Dinwoodie (2014).
- 54 Ohly (2011), 1132; see also critical remarks by Senftleben (2014) on AG Kokott's opinion.
- 55 It is true that, in Case C-65/12 - *Leidseplein/Red Bull*, the CJEU rejected the assertion that arguments accounting for "due cause" under Art. 5(2) TMD cannot simply be transposed into Art. 5(1). However, this concerned the use of identical marks for identical products by unrelated companies, in which case, as a rule, the essential origin function is affected. The argument made in the text above related to the other functions of the mark, where the consideration of "due cause" makes more sense. And even where the origin function is concerned, taking account of bona fide prior use (as in *Leidseplein*) is not excluded per se; it would not be called "due cause", however, but would form part of the analysis of negative effects on the origin function. See in particular CJEU Case C-482/09, [2011] ECR I-08701 - *Bud %3Fejovický Budvar/Anheuser-Busch*, and further remarks in this text on prior use and the origin function, *infra*, at 2.2.
- 56 In this context the argument forcefully made by M. Senftleben (in particular in 42 IIC 383 (2011), *supra* note 22) and others shall briefly be addressed that the functions theory as applied by the CJEU introduces de facto anti-dilution protection for trade marks that do not meet the threshold of reputation. It is true that extended protection for marks with a reputation, on the one hand, and absolute protection under the double identity clause in its interpretation by the CJEU, on the other, coincide from the aspect that origin confusion is not required. However, it is equally clear that anti-dilution protection obviously goes beyond double identity because it includes protection against similar marks being used for similar and dissimilar products. More importantly, the fact that even "ordinary" marks may *claim* protection against use that negatively affects their reputation or distinctive character does not mean that such protection is granted in a quasi-automatic manner. That such protection is, in principle, available without a formal threshold being established is not so special after all; the same possibilities exist under Comparative Advertising Directive (2006/114/EC; CAD) and are therefore, at least as far as comparative advertising is concerned, anyhow part of the European *acquis*. However, even without such a formal threshold being an established part of the legal analysis, it is clear that the mark's individual degree of renown or goodwill (or their complete absence) will typically be of crucial relevance in the assessment: how could an "ordinary" (or even unused!) mark claim in a plausible manner that someone using the mark, for instance in comparative advertising, tries to benefit from its aura? On the other hand, it can hardly be denied that even "ordinary" marks should be entitled to legal protection

if the goodwill they have acquired on the market is seriously compromised, *e.g.* by false allegations being made by a competitor.

- 57 For a typical example, *see* CJEU Case C-245/02 - *Anheuser Busch/Bud%3Fejovický Budvar*, para. 83: "In assessing whether the condition of honest practice is satisfied, account must be taken first of the extent to which the use of the third party's trade name is understood by the relevant public ... as indicating a link between the third party's goods and the trade-mark proprietor ..., and secondly of the extent to which the third party ought to have been aware of that. Another factor to be taken into account when making the assessment is whether the trade mark concerned enjoys a certain reputation in the Member State in which it is registered and its protection is sought, from which the third party might profit in selling his goods." The same topology of reasoning is reflected in Art. 14(2) of the Commission proposal for the TMD recast.
- 58 Notorious among the few exceptions is CJEU Case C-206/01, [2002] *ECR* I-10273 - *Arsenal/Reed*, where the Court left no way for the national judge to decide that the use of emblems and logos of the Arsenal football club did *not* jeopardize the origin function.
- 59 Jacob LJ, Court of Appeal (Civil Division), *L'Oréal v. Bellure*, [2010] *EWCA Civ* 535.
- 60 CJEU Case C-487/07, [2009] *ECR* I-05185 - *L'Oréal/Bellure*, para. 62.
- 61 CJEU Case C-487/07, [2009] *ECR* I-05185 - *L'Oréal/Bellure*, para. 63. In this regard, the contention of Jacob LJ in *L'Oréal v. Bellure* (*supra* note 59), para. 32, that the case falls on the wrong side of the line between what is and is not admissible simply because "the Court has said so. It regards the use as affecting the communication, advertising and investment functions of the mark" is not fully correct. Dinwoodie (2014), explains this by pointing out that the CJEU had not been sufficiently clear about separating the argumentation under Art. 5(1)(a) and 5(2) TMD. However, more problematic than that were probably the CJEU's findings regarding the Comparative Advertising Directive; on those *see* Jacob LJ in *L'Oréal v. Bellure*, para. 39; *see also infra* note 63.
- 62 CJEU Joined Cases C-236/08-C-238/08, [2010] *ECR* I-02417 - *Google/Vuitton*, decided 23 March 2010.
- 63 However, that alone would not have helped to decide the case in favour of the defendants. The CJEU also found that if a person legitimately imitating an element of another product (in the actual case, its smell) points to that fact in his advertising, this is paramount to representing his product as an "imitation or replica" of the other product, thereby violating Art. 3a(1)(h) of Directive 84/450 (now: Art. 4(g) of Directive 2006/114/EC). This verdict can hardly be overcome by a national court's reasoning; it is ultimately the result of flawed legislation which, in view of its incompatibility with the principle of free commercial speech, should have been interpreted by the CJEU in a much more restrictive manner; *see* A. Kur, L. Bently and A. Ohly, "Sweet Smells and a Sour Taste - The ECJ's *L'Oréal* decision", available at: http://papers.ssrn.com/sol3/papers.cfm?abstract_id=1492032.

- 64 See recital 13 of Directive 48/2004/EC. This aspect also has its drawbacks, as the relatively sharp sanctions in the Enforcement Directive were drafted with a view to "genuine" intellectual property infringements and not in regard to trade mark use in the grey zones of commercial speech. When applying the harmonized sanctions, judges must therefore place particular emphasis on the principle of proportionality.
- 65 A gap in that overlap exists where the sign and/or the products in relation to which it is used are not identical, without the mark having a reputation. If no likelihood of confusion is found, eventual effects on other trade mark functions cannot be assessed under trade mark law. The issue may become relevant in case of comparative advertising, if the protected sign is not used in an identical, but slightly modified form, as in *O2/Hutchinson*. In those (rare) cases, the consequences of Art. 10(3)(f) of the Commission proposal (stating that advertising that is contrary to Directive 2006/114/EC (CAD) amounts to trade mark infringement) are unclear. Does it mean that trade mark infringement will be found in those cases even if the advertising is contrary to the CAD just because the statement as such is faulty, or only in the (most unlikely) case of a likelihood of confusion? The latter approach is indicated by *O2/Hutchinson*; however, it would have the odd consequence that comparative advertising using slightly variegated signs is, in effect, still adjudicated under the patchwork of national laws implementing the CAD, whereas comparisons using the identical mark are treated as potential trade mark infringements irrespective of the reasons for which they may be considered as inadmissible. The issue hints at a deeper problem: where signs that are not identical, but still so similar to the protected mark that they are immediately recognized as such, are used to designate goods or services that originate from the trade mark holder, the actual situation and the interests involved are not different from those where an identical mark is used. Nevertheless, according to the CJEU (and, indeed, the wording of Art. 5(1)(a) and (b)), such cases are considered solely from the aspect of confusion. That, however, misses the point: what could be "confused" due to their similarity are the proprietor's mark and the sign that is intended to represent exactly that mark - that is not confusion, but recognition, and no risk for the origin function results from it. The current structure and wording of trade mark legislation are inapt to deal with those situations. To amend the flaw, the structure would have to be changed so that use of another person's mark - in an identical or recognizably similar form - in order to designate that person's products or refer to them in commercial speech becomes a provision separate from use of marks for the alleged infringer's goods or services. This regulation model was discussed in the course of elaborating the Trade Mark Study by the MPI, but, considering that the chances for acceptance of such structural changes were practically moot, it was not introduced into the final text.
- 66 German Federal Supreme Court, 1999 *GRUR* 161 - *MacDog*.
- 67 Particularly in the commentary on trade mark law by Fezer (2009, 5 *et seq*); Köhler (2007, 549 *et seq*); see also the detailed discussion by Bärenfänger (2010, 72 *et seq*).
- 68 German Federal Supreme Court, 2013 *GRUR* 1161 - *Hard Rock Café*.
- 69 CJEU Case C-661/11 - *Martin Y Paz/Gauquie* (not yet reported in *ECR*).

- 70 The background seems to have been that the mark "Nathan" was challenged by the proprietor of the mark "Natan"; opinion by AG Cruz Villalón in Case C-661/11 - *Martin Y Paz/Gauquie*, para. 18.
- 71 CJEU Case C-661/11 - *Martin Y Paz/Gauquie*, para. 60.
- 72 CJEU Case C-661/11 - *Martin Y Paz/Gauquie*, para. 61.
- 73 For the criteria of filing in bad faith in European law, see CJEU Cases C-529/07, [2009] ECR I-04893 - *Lindt & Sprüngli/Hauswirth*, and C-320/12 - *Malaysia Dairy*.
- 74 CJEU Case C-482/09, [2011] ECR I-08701 - *Bud%3Fejovický Budvar/Anheuser-Busch*. In this latest piece so far in the row of decisions dealing with the many facets of the conflict between the two breweries, it was asked *inter alia* whether, in view of the long-lasting coexistence of the two companies on the market, the origin function of the mark would be detrimentally affected if Anheuser Busch's claims for injunction are denied.
- 75 GA Cruz Villalón's opinion in CJEU Case C-661/11 - *Martin Y Paz/Gauquie*, paras. 73, 75.
- 76 CJEU Case C-661/11, 2013 GRUR 1140 - *Martin Y Paz/Gauquie*, para. 58.
- 77 GA Cruz Villalón's opinion in CJEU Case C-661/11 - *Martin Y Paz/Gauquie*, para. 86.
- 78 CJEU Case C-661/11 - *Martin Y Paz/Gauquie*, para. 61.
- 79 For consideration of prior use in case of alleged unfair advantage being taken of a mark under Art. 5(2) TMD, see CJEU Case C-65/12 - *Leidseplein/Red Bull*.
- 80 This stands in certain contrast to CJEU Case C-48/09 P - *Lego Juris*, where the CJEU found at para. 61 that, although the shape of the building block was necessary to achieve a technical result and thus could not be registered, protection under unfair competition law might still be available.
- 81 It is certainly true that it would be better if the law provided sufficient opportunities to cancel a mark if its acquisition was tainted by bad faith, instead of enjoining its use. However, if the law is deficient in this regard (as the Belgian law seems to be with its tight time frames for successfully claiming cancellation of marks thus acquired), and if, within that legal system, application of unfair competition principles is accepted as a remedy in such situations, it is not for European law to impose a different solution as long as the area is not fully harmonized.
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